

Financial Processes

This module manages the **financial aspects of service operations**, including tracking job costs, generating invoices, processing payments, and synchronizing financial data with accounting systems. It ensures that all completed work is accurately billed and recorded.

1. Job Costing Workflow

Tracking Labor and Material Costs

This workflow tracks the **actual costs incurred during job execution** to measure profitability.

Step 1: Record Labor Costs

Labor costs are recorded as technicians perform work on the job.

Labor details recorded include:

- Technician name
- Hours worked
- Hourly labor rate
- Total labor cost

Purpose:

To track workforce expenses associated with the job.

Step 2: Record Material Costs

Materials used during the job are logged in the system.

Material records include:

- Material name
- Quantity used
- Unit cost
- Total material cost

Purpose:

To track material expenses used for completing the job.

Step 3: Track Additional Job Costs

Other expenses related to the job may also be recorded.

Examples:

- Equipment usage
- Subcontractor fees
- Transportation costs
- Additional service fees

Purpose:

To capture all costs associated with the job.

Step 4: Calculate Job Profitability

The system calculates profitability based on:

Profitability formula:

Profit = Job Revenue – Total Job Costs

Purpose:

To determine whether the job generated profit or loss.

2. Invoice Generation Workflow

Creating Invoices for Completed Jobs

This workflow manages the process of **billing customers for completed work**.

Step 1: Confirm Job Completion

Before an invoice can be created, the job must be marked as **Completed**.

Verification includes:

- Confirming labor hours
- Verifying materials used
- Reviewing job documentation

Purpose:

To ensure the job is ready for billing.

Step 2: Generate Invoice

An invoice is generated from the completed job.

Invoice details include:

- Customer information
- Job reference number
- Labor charges
- Material costs
- Taxes
- Total amount due

Purpose:

To formally bill the customer for services provided.

Step 3: Review Invoice

The invoice is reviewed before sending.

Checks may include:

- Pricing accuracy
- Correct tax calculation
- Complete job details

Purpose:

To prevent billing errors.

Step 4: Send Invoice to Customer

The finalized invoice is sent to the customer.

Delivery methods may include:

- Email
- Customer portal
- Printed invoice

Purpose:

To notify the customer of the payment due.

3. Payment Processing Workflow

Recording Customer Payments

This workflow manages the collection and recording of payments from customers.

Step 1: Receive Payment

Customers make payments using available methods.

Common payment methods include:

- Bank transfer
- Credit card
- Online payment systems
- Cash or cheque

Purpose:

To collect payment for completed services.

Step 2: Record Payment in System

Once payment is received, it is recorded in the system.

Payment records include:

- Payment amount
- Payment date
- Payment method
- Invoice reference

Purpose:

To update financial records.

Step 3: Update Invoice Status

After payment is recorded:

Invoice status is updated to:

- Paid
- Partially paid
- Overdue

Purpose:

To track outstanding balances.

Step 4: Manage Outstanding Payments

If payment is not received by the due date:

Possible actions include:

- Sending payment reminders
- Contacting the customer
- Applying late fees if necessary

Purpose:

To ensure timely collection of payments.

4. Accounting Integration Workflow

Synchronizing Financial Data with Accounting Systems

This workflow ensures that financial data is synchronized with external accounting software.

Step 1: Prepare Financial Records

Before synchronization, the system organizes financial records.

Records may include:

- Invoices
- Payments
- Purchase orders
- Expenses

Purpose:

To prepare data for transfer to accounting systems.

Step 2: Synchronize with Accounting System

Financial data is automatically synced with the accounting software.

Examples of accounting systems:

- Xero
- QuickBooks
- MYOB

Purpose:

To maintain accurate financial records across systems.

Step 3: Verify Financial Data

Finance staff review synchronized records.

Verification includes:

- Checking invoice entries
- Confirming payment records
- Reviewing financial reports

Purpose:

To ensure financial accuracy.

Step 4: Generate Financial Reports

Once synchronized, the system can generate reports.

Examples of reports include:

- Revenue reports
- Profit and loss statements
- Job profitability reports
- Outstanding invoices

Purpose:

To support financial analysis and decision-making.

Summary of Financial Processes

Job Costing

1. Record labor costs
2. Record material costs
3. Track additional expenses
4. Calculate job profitability

Invoice Generation

1. Confirm job completion
2. Generate invoice
3. Review invoice
4. Send invoice to customer

Payment Processing

1. Receive payment
2. Record payment in system
3. Update invoice status
4. Manage outstanding balances

Accounting Integration

1. Prepare financial records
2. Sync data with accounting system
3. Verify financial data
4. Generate financial reports